

2-4c Political Risk

While the degree of hostility toward business varies among different types of totalitarianism (some can be more pro-business than others), totalitarianism in general is not as good for business as is democracy. Totalitarian countries often experience wars, riots, protests, chaos, and breakdowns, which result in higher

political risk (Risk associated with political changes that may negatively impact domestic and foreign firms.)

—risk associated with political changes that may negatively impact domestic and foreign firms (see [Emerging Markets 2.2](#)). The most extreme political risk may lead to nationalization (expropriation) of foreign assets. This happened in many totalitarian countries from the 1950s through the 1970s. It has not become a thing of the past. Recently, Argentina expropriated the assets of YPF—the subsidiary of Spanish oil firm Repsol. Zimbabwe demanded that foreign mining companies cede 51% of their equity without compensation. It is hardly surprising that foreign firms are sick and tired of such expropriation and would rather go to “greener pastures” elsewhere.

Emerging Markets 2.2

Testing the Dell Theory of Peace in East Asia

Thomas Friedman, a *New York Times* columnist, suggested in his 2005 bestseller *The World Is Flat* a Dell theory of peace: No two countries that are both part of a major global supply chain, like Dell’s, will ever fight a war against each other as long as they are both part of the same global supply chain. Countries involved in major global supply chains focus on just-in-time deliveries of goods and services, which raise standards of living. In the case of Dell, the following countries are involved: China, Costa Rica, Germany, Israel, Japan, Malaysia, the Philippines, South Korea, Taiwan, Thailand, and the United States.

East Asia is both a manufacturing hub for IT giants such as Dell and a hot neighborhood for territorial disputes. In 2012, the Japanese government ignored warnings from China and purchased from a right-wing politician five barren rocks in the East China Sea, which the Chinese call Diaoyu and the Japanese call Senkaku. (For compositional simplicity, we will call them the Diaoyu/Senkaku islands in the rest of the case.) Totalling less than three square miles, the uninhabited islands have long been disputed. In 1972, China and Japan agreed to shelve the issue indefinitely. Fast forward to 2012, the Japanese government nationalized the islands, in fear of a right-wing politician whose plans for the islands would certainly have provoked China. But an assertive China argued that even the Japanese government’s purchase was an unacceptable change in the status quo. Anti-

Japanese riots and boycotts erupted in some Chinese cities in August and September 2012, vandalizing stores selling Japanese products, burning Japanese-branded cars, and setting a Panasonic factory on fire. Sales of Toyota, Honda, Nissan, and Mazda cars in China plummeted in the remainder of 2012. Chinese business and tourist visitors also cancelled visits and vacations, hurting hotels, resorts, and restaurants in Japan—All Nippon Airlines (ANA) alone suffered 46,000 seat cancellations. In all, between 0.5% and 1% of Japanese GDP was shaved off—all for a bunch of barren rocks.

Since then, Chinese and Japanese ships and aircraft routinely face off each other in the disputed waters and airspace surrounding the Diaoyu/Senkaku islands. Will such a new cold war turn hot? Most experts believe this to be *unlikely*, simply because China needs Japanese products as much as Japan needs to sell them. Japan provides some of the most critical components for made-in-China exports—think of the Sharp LCD screens and Toshiba flash memory drives that power the Apple iPhones assembled in China. Japan is also one of the largest foreign direct investors in China, employing approximately 1.5 million Chinese workers in 4,600 factories throughout the country. One-tenth of Japan's foreign direct investment (FDI) stock is in China. Because the two economies are complementary, there is a great deal of economic integration characterized by dense trade, investment, and personnel flows. Neither side risks disrupting these flows through conflicts without crippling its own economy—or both. While there is no guarantee that cooler heads would always prevail in Beijing and Tokyo, Thomas Friedman and peace lovers of the world—a group that presumably includes all readers of *this* book—would certainly hope that the Dell theory of peace would continue to be supported in East Asia and beyond.

Sources: Based on (1) *Bloomberg Businessweek*, 2012, *Japan, China, and a pile of rocks*, October 22: 20–21; (2) *Bloomberg Businessweek*, 2013, *Battered in China, Japan Inc. seeks refuge*, February 11: 11–12; (3) *Bloomberg Businessweek*, 2014, *Anti-China riots scare Taiwan*, May 26: 18–19; (4) *Economist*, 2014, *Hot oil on troubled waters*, May 17: 38; (5) *Foreign Affairs*, 2013, *Beijing's brand ambassador*, July: 10–17; (6) *Foreign Affairs*, 2013, *Japan is back*, July: 2–8; (7) T. Friedman, 2005, *The World Is Flat*, New York: Farrar, Straus, and Giroux; (8) R. Katz, 2013, *Mutual assured production: Why trade will limit conflict between China and Japan*, *Foreign Affairs*, July: 18–24.

Firms operating in democracies also confront political risk. However, such risk is qualitatively lower than that in totalitarian countries. For example, Scotland's potential independence from the rest of the UK created some political risk. Although firms highly exposed to Scotland experienced some drop in their stock prices, there was no general collapse of stock prices in the UK or flight of capital out of the country. Investors are confident that should Scotland become independent at some time in the future, the British democracy is mature enough to manage the break-up process in a relatively non-disruptive way.

Would political risk to firms operating in the UK become too high if Scotland became independent?

Colin McPherson/Alamy

Obviously, when two countries are at each other's throats, we can forget about doing business between them (perhaps other than smuggling). Reportedly, no two democracies have gone to war with each other. Thus, the recent advance of democracy and retreat of totalitarianism is highly beneficial for global business. It is not a coincidence that globalization took off in the 1990s, a period during which both communist and right-wing totalitarianism significantly lost their power and democracy expanded around the world.

Chapter 2: Understanding Formal Institutions: Politics, Laws, and Economics: 2-4c Political Risk

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Printed By: Mike Benton (mbento6@wgu.edu)

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